

Judgment Sheet
IN THE LAHORE HIGH COURT LAHORE
JUDICIAL DEPARTMENT

Writ Petition No.53549 of 2025

Muhammad Sultan Shahid and 03 others

Versus

Province of Punjab through Chief Secretary and 07 others

J U D G M E N T

Date of Hearing	25.02.2026
For the petitioners	Barrister Sarim Shahid, Advocate.
For the respondents	Mr. Mohammad Osman Khan, Assistant Advocate General, Punjab with Qaisar Raza Malik, Director Public Instructions (respondent No.5). Ms. Aasia Shafeeq, Law Officer Higher Education Department, on behalf of respondent No.2. Mr. Aamer Sohail, Law Officer Finance Department, on behalf of respondent No.6.

Raheel Kamran, J.:- Through this single judgment, I propose to decide the instant Writ Petition as well as Writ Petition No.53552 of 2025 as the same have stemmed out of a common factual matrix and involve identical questions of law.

2. The facts forming the background of the present proceedings are that the petitioners were appointed as Directors of Physical Education (DPE) in BS-16 through the Punjab Public Service Commission (PPSC) in the years 1987, 1992, and 1996. Subsequently, upon acquiring Master’s Degrees in Physical Education, they were granted personal upgradation to BS-17 in accordance with the applicable Rules. Thereafter, the Government of the Punjab, Finance Department, vide letter No. FD.PC.40-12/2017 dated 19.04.2019, introduced the policy of Time Scale Promotion

(TSP) for officers in BS-16 and above with effect from 01.02.2019. In pursuance thereof, the Higher Education Department granted two-steps time scale promotions to the petitioners, i.e., from BS-17 to BS-18 and subsequently to BS-19, vide orders dated 20.07.2022 and 18.08.2022, respectively, with retrospective effect from 01.02.2019. Consequently, monetary benefits were also extended to the petitioners, which they continued to draw without any objection from the authorities. However, the Finance Department had earlier issued a clarification vide letter dated 20.12.2019, wherein the phrase “due to a few number of posts” was interpreted to mean that posts in the upper tier are less than or equal to 10% of those in the lower tier. Placing reliance upon the aforesaid clarification, as well as subsequent clarifications issued vide letters dated 17.05.2021 and 10.02.2023, the Higher Education Department withdrew the petitioners’ upgradation orders vide order dated 20.02.2023. Feeling aggrieved, they approached this Court by filing Constitutional Petitions, which were disposed of on 21.05.2025 with a direction to the Finance Department to decide the matter afresh by affording an opportunity of hearing to the petitioners. In compliance with the said directions, the Secretary Finance passed order dated 30.06.2025 (impugned order), whereby the earlier grant of time scale promotions was effectively withdrawn on the basis of a restrictive interpretation of the governing policy and the clarifications issued thereunder. Hence, the instant petitions.

3. Learned counsel for the petitioners contended that the impugned order is arbitrary, unlawful and passed in disregard of the directions of this Court. It was argued that the case of the petitioners falls within the second category of the letter dated 19.04.2019, i.e., officers in BS-16 and above holding stagnant posts who are entitled to two time scale promotions upon completion of ten years’ satisfactory service. It was submitted that the petitioners had reached the maximum stage of BS-17 and were effectively stagnating, thus

fulfilling the criteria of stagnation as interpreted by the Supreme Court. Learned counsel added that the subsequent grant of time scale promotions was therefore lawful and in consonance with the object of the Policy, which aims to mitigate hardship caused by lack of promotional avenues. Learned counsel further argued that time scale upgradation does not alter the nature of the post but merely confers financial relief and once such benefit was validly granted and acted upon, it created vested rights in favour of the petitioners. According to him, the withdrawal of such benefits, particularly after disbursement and lapse of time, is arbitrary and contrary to settled principles of administrative law. It was also contended that the impugned order defeats the beneficial nature of the policy, which ought to be interpreted liberally to advance its remedial purpose and that the petitioners' legitimate expectation arising from consistent application of the policy, has been unjustifiably frustrated. Learned counsel emphasized that the service structure relied upon by the respondents for denying benefit was either not applicable or misinterpreted and thus the impugned order suffers from jurisdictional error and legal infirmity. To augment his arguments, learned counsel has placed reliance on the cases of "Federation of Pakistan through Secretary, Ministry of National Health Services v. Jahanzeb and others" (2023 PLC (CS) 336), "Muhammad Ijaz v. Government of the Punjab Through Director General Fisheries, Punjab, Lahore" (2021 PLC(CS)1154), "Sheikh Shan Ilahi v. Federation of Pakistan through Secretary Interior, Ministry of Interior Islamabad" (PLD 2023 Lahore 359), "Alfalah Medicos v. Government of Punjab through Secretary, Primary and Secondary Healthcare" (PLD 2017 Lahore 124) and "R (GC) v. Commissioner of Police for the Metropolis" (2011) UKSC 21.

4. Conversely, learned Assistant Advocate General, Punjab assisted by the Law Officers supported the impugned order by contending that time scale upgradation is not a vested right and can be withdrawn if granted contrary to policy. It was argued that

the Finance Department is the competent authority to interpret policy under the Rules of Business and its clarifications have a binding effect. They maintained that the concept of “few number of posts” was clarified to mean a ceiling of 10% in the upper tier and since the service structure of DPEs provides sufficient promotional avenues with a four-tier hierarchy, the petitioners cannot be treated as holding stagnant posts. It was further contended that the earlier grant of upgradation was erroneous and rightly withdrawn in light of the Finance Department’s prior advice. Reliance was also placed on legal principles permitting the Government to rescind or modify its orders and on precedents holding that wrongful benefits cannot be perpetuated. It was additionally submitted that most of the petitioners have already been granted regular promotion in BS-18, thereby mitigating any alleged grievance. They supplemented their arguments by relying on the cases of “Government of Pakistan, M/o Railways, through Secretary and others v. Jamshed Hussain Cheema and others” (2016 SCMR 442), “Nazir Ahmad Panhwar v. Government of Sindh through Chief Secretary, Sindh and others” (2005 SCMR 1814) and “Shakeel Ahmad Zaidi and others v. Secretary, Higher Education, Government of Punjab, Lahore and others” (2021 SCMR 474). Learned Assistant Advocate General, Punjab vehemently emphasized that the subject matter of the present dispute pertains to grant, withdrawal and entitlement of promotion, which squarely falls within the domain of terms and conditions of service of civil servants. He added that the proper and exclusive forum for adjudication of such disputes is the Service Tribunal constituted under Article 212 of the Constitution of the Islamic Republic of Pakistan, 1973, as such the instant constitutional petitions are not maintainable before this Court.

5. In rebuttal, learned counsel for the petitioners submitted that the objection regarding maintainability is misconceived. He explained that the benefit extended to the petitioners is not in the

nature of promotion but constitutes “time scale upgradation,” which is conceptually and legally distinct from promotion, as such constitutional petition is maintainable before this Court. In support of this proposition, reliance was placed upon the judgment of the Supreme Court of Pakistan in the case of “Regional Commissioner Income Tax, Northern Region, Islamabad and another v. Syed Munawar Ali and others” (2016 SCMR 859).

6. Arguments heard. Record perused.

7. Before advertng to the merits of the case, it is appropriate to address the preliminary objection regarding maintainability raised by the learned Assistant Advocate General. The objection, in essence, is that the dispute relates to promotion and, therefore, falls within the exclusive jurisdiction of the Service Tribunal. However, this contention is not tenable in light of the settled legal position as well as the true nature of the benefit involved. At the outset, it is necessary to draw a clear distinction between the terms “promotion” and “upgradation,” which though sometimes used interchangeably, are conceptually and legally distinct. Promotion, in service jurisprudence, signifies advancement to a higher post within the service hierarchy, entailing an elevation in rank, duties, responsibilities, and status, in addition to financial benefits. In contrast, upgradation does not constitute a vested right; rather, it emanates from a policy decision designed to benefit a particular class of employees under a specified scheme. In such a case, the employee continues to hold the same post without any change in duties or responsibilities, however, he is granted a higher pay scale with the object of alleviating stagnation arising from the absence or limited availability of promotional avenues.¹. Thus, while promotion is post-centric and structural in character, upgradation is person-centric and remedial in nature, aimed primarily at alleviating

¹ “Secretary to the Government of Pakistan, Establishment Division, Islamabad and another v. Muhammad Ahmed Khan and others” (2025 SCMR 434).

stagnation. This distinction assumes particular significance in the present case.

Although the letter dated 19.04.2019 employs the expression “Time Scale Promotion,” the subsequent clarification dated 20.12.2019 explicitly stipulates that the said term shall be construed as “Time Scale Personal Upgradation.” Therefore, even within the respondents’ own policy framework, it is evident that the benefit in question does not amount to promotion in its strict legal sense, rather, it constitutes a form of personal upgradation granted to mitigate hardship arising from prolonged stagnation.

8. In the case of “Regional Commissioner Income Tax, Northern Region, Islamabad and another v. Syed Munawar Ali and others” (2016 SCMR 859), the Supreme Court of Pakistan while drawing clear distinction between the terms “promotion” and “upgradation”, held that matters relating to upgradation of civil servants can be decided by the High Court in its constitutional jurisdiction and the bar contained under Article 212(3) of the Constitution is not attracted. For the facility of reference, the relevant excerpt from the said judgment is reproduced hereunder:

“6. We have heard the learned Counsel for the parties and have perused the record. The expression "upgradation" is distinct, from the expression "Promotion", which is not defined either in the Civil Servants Act or the Rules framed thereunder, and is restricted to the post (office) and not with the person occupying it. The upgradation cannot be made to benefit a particular individual in term of promoting him to a higher post and further providing him with the avenues of lateral appointment or transfer or posting. In order to justify the upgradation, the Government is required to establish that the department needs re-structuring, reform or to meet the exigency of service in the public interest. In the absence of these pre-conditions, upgradation is not permissible.

7. The aforesaid definition of the expression "upgradation" clearly manifests that it cannot be construed as promotion, but can be granted through a policy. In fact, this Court in the judgment titled as Ali Azhar Khan Baloch v. Province of Sindh (2015 SCMR 456) and an unreported judgment of this Court passed in the case of Chief Commissioner Inland Revenue and another v. Muhammad Afzal Khan (Civil

Appeal No.992 of 2014) has held that the issue relating to upgradation of civil servants can be decided by a High Court in exercise of its constitutional jurisdiction and bar contained under Article 212(3) of the Constitution would not be attracted. The policy of upgradation, notified by the Government, in no way, amends the terms and conditions of service of the civil servant or the Civil Servants Act and or the Rules framed thereunder. The Service Tribunals have no jurisdiction to entertain any appeal involving the issue of upgradation, as it does not form part of the terms and conditions of service of the civil servants. The question in hand has already been answered by the aforesaid two judgments of this Court.”

In the instant case, the grant of Time Scale Promotion, in substance, amounts to personal upgradation conferred under a policy framework to address the issue of stagnation and does not constitute a substantive promotion against a higher post. Consequently, the dispute cannot be construed as one relating to the terms and conditions of service in the strict sense so as to oust the jurisdiction of this Court. Accordingly, the preliminary objection regarding maintainability is repelled, and the petitions are held to be competent.

9. Adverting now to the merits of the case, it transpires that the controversy in the present matter revolves around the interpretation and application of the Finance Department’s letter No. FD.PC.40-12/2017 dated 19.04.2019. In particular, the issues requiring determination relate to the concept of “stagnation,” the scope of eligibility for grant of Time Scale Promotion/personal upgradation, and the legality of the withdrawal of benefits already conferred upon the petitioners. For the sake of convenience and to facilitate proper appreciation of the matter, the relevant excerpt of the said notification is reproduced hereunder:—

“Subject: TIME SCALE PROMOTION TO OFFICERS IN BS-16 AND ABOVE HAVING STAGNANT POSTS.

I am directed to refer to the subject cited above and to state that the Governor of the Punjab has been pleased to allow Time Scale Promotion twice in their entire service to the officers/officials with effect from 01.02.2019 in the following prescribed manners:

- i) *The officers/officials who have served for more than 10 years of service in the same scale even if they have opportunity of promotion, but they are not promoted due to a few number of posts in the upper tier may be up-graded to next scale as personal to them as one time dispensation, subject to the condition that they possess good/satisfactory service record.*
- ii) *The officers in BS-16 and above having stagnant posts may also be allowed Time Scale Promotion on completion of 10 years' satisfactory service twice in their entire service."*

A bare reading of the aforesaid letter reveals that Time Scale Promotion was envisaged for officers falling within two distinct categories. The first category comprises officers who had served for more than ten years in the same pay scale and, despite having promotional avenues available, could not be promoted due to the limited number of posts in the upper tier. Such officers were granted upgradation to the next higher scale on a personal basis as a one-time dispensation. The second category consists of officers serving on posts characterized by stagnation. This category, however, was entitled to time scale promotion upon completion of ten years of satisfactory service, extendable up to two times during the course of their entire service.

10. On the basis of letter dated 19.04.2019, present petitioners were given time scale personal upgradation twice i.e. from BS-17 to BS-18 and from BS-18 to BS-19 vide orders dated 20.07.2022, 18.08.2022 and 15.09.2022. It is undisputed that the petitioners had served for more than two decades in BS-17. The act of respondent No.2 Secretary Higher Education Department giving time scale promotion to the petitioners twice is indicative of the fact that while giving time scale promotion by way of above referred orders, the petitioners were deemed to be falling within the second category of letter dated 19.04.2019 i.e. the officers having stagnant posts. However, subsequently, their promotion orders were withdrawn while relying mainly upon the clarification issued by the

Finance Department on 20.12.2019 qua a few number of posts in the upper tier, whereby it was clarified as under:-

“It is clarified that the words due to a few number of posts in the upper tier would mean that posts in upper tier are less than or equal to 10% of the posts in the lower tier.”

In the said clarification, the words “Time Scale Promotion” mentioned in earlier letters including that dated 19.04.2019 were clarified to be read as “Time Scale Personal Up-gradation”.

11. By withdrawing the promotion of the petitioners, they were treated to be falling in the first category of officers as mentioned in the letter dated 19.04.2019. The petitioners’ case is that as they served in BS-17 for more than 20 years and reached the last stage of the pay of the said scale i.e. Stage 20 and were not given regular promotion in the meanwhile, their post in BS-17 is practically stagnant. They have relied upon the judgment in the case of “Federation of Pakistan through Secretary, Ministry of National Health Services v. Jahanzeb and others” reported as **2023 PLC (C.S.)**

336. Relevant extract from the said judgment is as under: -

“5. It is a well settled exposition of law that a move-over cannot be construed as promotion to the post of higher Basic Pay Scale, but the higher pay scale is treated to be an extension of the existing Basic Pay Scale of the post held by the employee. Though the Government Policy for extending move-over was discontinued which has also been mentioned by the learned Tribunal with the cutoff date as 01.07.2002, but the fact remains that the respondents were not claiming their move-over after its discontinuation or revision of the policy but they were pursuing the entitlement of proforma promotion accrued in the next higher grade before the cut-off date. If an employee was not promoted and meanwhile reached to the maximum stage of his pay scale, then obviously, he could be stagnant in his earlier pay scale due to attainment of maximum stage, therefore, as per erstwhile move-over Policy, the modus of move-over was devised to cope with such situations in accordance with the criteria provided under SI. No.73 to SI. No.91, (O.M. 1975 to 1999) incorporated in the Establishment Code 2007. The respondents were deprived of the benefit vide memorandum dated 19.11.2019 and being aggrieved, they approached to the learned Tribunal for

relief, thus we do not subscribe the arguments of the learned Additional Attorney General that the appeals were time barred before the learned Tribunal which plea has already been dealt with adequately by the Tribunal in the impugned judgment.

6. - - - -

7. *The learned Tribunal has also referred to the Office Memorandum dated 7.10.1999 in which, according to the policy instructions of 1986, civil employees of the Federal Government were allowed to move-over to the next highest basic pay scale with effect from 1st December of the year following the year in which they reach the maximum. It was further mentioned in the same office memorandum that these instructions were inferred erroneously to imply one year's stay at the maximum before entitlement to move-over, and the term "following year" used in the instructions of 1986 in fact means the next calendar year. When the present respondents were granted proforma promotion to BPS-19 with effect from 29.12.1999 vide notification dated 15.01.2018, they had already reached the maximum stage of BPS-19, therefore, they were entitled to be moved-over to BPS-20. After considering the pros and cons, the learned Tribunal rightly set aside the decision of the Committee dated 31.7.2019, whereby the respondents were denied the benefit of move-over which was accrued to them before the date of proforma promotion."*

(Emphasis supplied by this Court.)

12. The record reflects and it is not even otherwise disputed that the petitioners remained in BS-17 for an exceptionally long period and had reached the maximum stage much prior to the issuance of letter dated 19.04.2019. In Service jurisprudence, stagnation is not merely a function of the existence of promotional posts in the hierarchy but should be more realistically determined by the actual lack of career progression over time. Therefore, mere existence of a multi-tier service structure, without corresponding actual promotional movement, cannot negate the factual reality of stagnation. This Court is fortified to seek guidance in this respect from the judgment in *Jahanzeb* case (*supra*). The language employed in clause (ii) of letter dated 19.04.2019 is independent and unqualified. It does not incorporate any numerical limitation regarding availability of posts. Where the language of a policy is

clear and unambiguous, no additional restriction can be read into it. Thus, the petitioners' case falls within clause (ii), being officers who had suffered prolonged stagnation. As such, the reliance placed by the respondents on the clarification dated 20.12.2019, defining "few number of posts" as not exceeding 10%, is misconceived. The contention that the existence of a four-tier service structure negates stagnation, is also untenable. The test is not theoretical availability of posts but actual promotional mobility. Where, as in the present case, employees remain unpromoted for decades and reach the ceiling of their scale, stagnation stands established in substance.

13. It is a settled principle that this Court ordinarily refrains from interfering in matters falling within the policymaking domain of the Government. However, where the Government frames a comprehensive policy with the express purpose of conferring benefits upon employees, such policy must be implemented in a fair and purposive manner. It cannot be applied in a restrictive or technical manner that introduces undue conditions, limitations, or distinctions capable of frustrating the very objective of the policy. Beneficial schemes must be construed and applied in a manner that promotes their underlying purpose rather than defeats it.

The impugned restrictive approach adopted by the respondents is therefore inconsistent with the settled principles of interpretation applicable to beneficial schemes. In particular, the application of clause (i) of the letter dated 19.04.2019, read in conjunction with its subsequent clarification regarding the availability of "few posts," to justify the withdrawal of the petitioners' Time Scale Personal Upgradation is wholly unjustifiable.

14. It is also noteworthy that the respondents have contended that the petitioners have since been granted regular promotion to BS-18. However, a careful scrutiny of the record demonstrates that such promotions were granted only in 2023, by which time the petitioners had already served in BS-17 for over two

decades and had crossed the maximum stage of that scale. The delayed grant of regular promotion, after such a protracted period, does not negate the fact of prolonged stagnation suffered by the petitioners; rather, it underscores that, for all practical purposes, they remained confined to a single pay scale without meaningful career progression.

15. The position is even more compelling in the case of petitioners who had already superannuated prior to the grant of these promotions, thereby being entirely deprived of any tangible benefit. Under these circumstances, the subsequent or belated promotions cannot be invoked to deny the petitioners the benefit of Time Scale Personal Upgradation, which had accrued to them much earlier in accordance with the policy dated 19.04.2019.

16. The record demonstrates that the competent authority, after due consideration and in consultation with the relevant departments, granted the benefit of Time Scale Personal Upgradation to the petitioners in the year 2022. It is well-settled that an administrative authority possesses the power to rescind, modify, or recall its own orders. However, such power is not unbridled and is confined to circumstances where the original order is shown to be illegal, issued without lawful authority, or suffering from a patent infirmity. Where an order is passed in accordance with law and in faithful application of the governing policy, its subsequent withdrawal cannot be justified merely on the basis of a later change in interpretation or administrative opinion. As discussed in the preceding paragraphs, the grant of upgradation to the petitioners was fully consistent with the policy set out in the Finance Department's letter dated 19.04.2019, particularly in view of the established fact that the petitioners had suffered prolonged stagnation. Accordingly, said orders cannot be characterized as illegal or void so as to warrant their recall. The reliance placed on the cases of "Nazir Ahmad Panhwar v. Government of Sindh through Chief Secretary, Sindh and

others” (2005 SCMR 1814) and *“Shakeel Ahmad Zaidi and others v. Secretary, Higher Education, Government Of Punjab, Lahore and others”* (2021 SCMR 474) is, therefore, misconceived, as the principle enunciated therein permits withdrawal only of orders vitiated by illegality, and not those validly passed in accordance with law and policy. Furthermore, there is no allegation of misrepresentation, concealment, or fraud on the part of the petitioners.

17. As an inevitable corollary of above discussion, it is held that the petitioners were rightly treated as officers serving against stagnant posts and were entitled to Time Scale Personal Upgradation under clause (ii) of the letter dated 19.04.2019.

18. For the foregoing reasons, these writ petitions are **allowed**. The impugned order dated 30.06.2025 and the earlier withdrawal order dated 20.02.2023 are set aside for having been passed without lawful authority and the respondents are directed to restore the petitioners’ upgradation orders along with all consequential benefits. Any action for recovery or adverse proceedings against the petitioners, based on the withdrawn benefit, shall also stand annulled and of no legal effect. There shall be no order as to costs.

(RAHEEL KAMRAN)
JUDGE

Announced in the Open Court on _____.

JUDGE

Approved for reporting.

JUDGE